

Applied Microeconomics FEB12001X

Academic year 2026/2027

Lecturers:

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Tutorials:

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Aims

The objective of this course is to learn to apply the concepts and techniques taught in the first-year Microeconomics course as well as in the Mathematics courses to problems faced by decision-makers in the public sector as well as in organizations more generally.

Contents

The course consists of two parts: personnel economics and public economics. The first part of the course focuses on incentives and workers' motivation inside organisations. The role of monetary and non-monetary incentives in motivating, selecting, and attracting workers to organisations is studied. Topics include the effects of pay-for-performance on motivating and selecting workers, optimal hiring and firing policies, education, team-work, promotion tournaments, and benefits.

The second part of the course focuses on how markets are systematically imperfect in case of public goods, externalities, and asymmetric information. Markets may also bring about undesirable inequality. We study the role of the government in reducing the welfare losses that arise when markets do not function perfectly, and discuss the limits to government intervention. We also study the effects of taxation and redistribution. The normative discussion of government intervention is complemented by a positive analysis of collective decision-making.

The two parts of the course are lectured in parallel. Each week, the lecture on Tuesday is devoted to public economics, the lecture on Wednesday to personnel economics, and the lecture on Friday alternates between the two parts. Also, each week you have one tutorial on public economics and one tutorial on personnel economics.

Exam material

Selected chapters from the required literature as well as the lecture slides and exercises. Lecture slides and exercises are published weekly on Canvas.

Required literature

- Harvey S. Rosen and Ted Gayer (2008), *Public Finance*, 8th ed. (ISBN: 0071259392) **or** 9th ed. (ISBN: 9780071267885) **or** 10th ed. (ISBN13 9780077154691), Chapters 1 - 16.
- Peter Kuhn, *Personnel Economics*, ISBN 978-0-19-937801-2
Please note: The price of the book by Kuhn via the regular channel should be about 60-70 euro. There will be a special discount on the online edition, more information will be provided by the publisher during the first lecture.

Also recommended is one chapter (on externalities) of the first-year microeconomics textbook: R. Frank and Cartwright, *Microeconomics and Behavior*, Mc Graw-Hill. This is chapter 16 in the first edition and chapter 18 in the second edition of the book.

Survey of the lectures and required literature (exact dates and times of the lectures can change, check the schedule on timetables.eur.nl regularly)

Part A: Public Economics				
No	Literature	Topic	Lecture	Tutorial
1	Rosen&Gayer, Chapters 1- 4 and 8	Introduction / Public Goods	1 September 13:00 – 14:45	3 – 8 Sept
		Review of Perfect Competition / More on Public Provision	4 September 11:00 – 12:45	
2	Rosen&Gayer, Chapters 5 and 7; Frank & Cartwright, Chapt.16 / 18	Externalities	8 September 13:00 – 14:45	10 – 15 Sept
		Education / Common Resource Problem	11 September 11:00 – 12:45	
3	Rosen&Gayer, Chapter 9 – 11	Asymmetric Information	15 September 13:00 – 14:45	17 – 22 Sept
4	Rosen&Gayer, Chapters 12 and 13	Redistribution	22 September 13:00 – 14:45	24 – 29 Sept
5	Rosen&Gayer, Chapters 14 and 15	Taxation: Incidence and Distortions	29 September 13:00 – 14:45	1 – 6 Oct
6	Rosen&Gayer, Chapter 16	Optimal Taxation	6 October 13:00 – 14:45	8 – 13 Oct
7	Rosen&Gayer, Chapter 6	Collective Decision-Making	13 October 15:00 – 16:45	15 – 16 Oct
		Question hour	16 October 11:00 – 12:45	

Part B: Personnel economics				
No	Literature	Topic	Lecture	Tutorial
1	Chapter 1, 2 and 3	Principal-agent problem	2 September 13:00 – 14:45	3 – 8 Sept
2	Chapter 4 and 5	Efficiency and extensions	9 September 13:00 – 14:45	10 – 15 Sept
3	Chapter 6, 7 and 8	Pay for performance in practice	16 September 13:00 – 14:45	17 – 22 Sept
4	Chapter 9, 10 and 11	Non-classical motivators	23 September 13:00 – 14:45	24 – 29 Sept
5	Chapter 12 up to and including 16	Hiring and training	25 September 11:00 – 12:45	2 October 11:00 – 12:45 (Plenary)
6	Chapter 17 up to and including 19	Monopsony and efficiency wages	30 September 13:00 – 14:45	1 Oct – 6 Oct
7	Chapter 16	Discrimination	9 October 11:00 – 12:45	9 October 11:00 – 12:45 (Plenary)
8	Chapter 20 up to and including 23	Competition in the workplace	7 October 13:00 – 14:45	8 Oct – 13 Oct
9	Chapter 24 up to and including 27	Teams	14 October 13:00 – 14:45	14 October 13:00 – 14:45 (Plenary)
		Question hour	16 October 11:00 – 12:45	

Lectures

Slides and exercises (including answers) are uploaded weekly on Canvas, at most one day before the lecture. Note that in some lectures, no slides are used. The lectures are not made available online.

Question hour

The final lecture, on 16 October 11:00 – 12:45, is devoted to answering your questions. Both lecturers will be present.

Tutorials

For both parts of the course, you receive a weekly exercise set that is discussed in the tutorial.

A separate document in Canvas will state for each tutorial group which tutorial discusses personnel economics and which tutorial discusses public economics.

The last tutorial is on public economics for all groups.

You are supposed to seriously attempt to solve the exercises before the tutorials.

Staring at an exercise for 5 minutes is not a serious attempt!

Tutorials are not meant to passively copy solutions. In fact, you receive solutions together with the exercise sets. The key purpose of the tutorial is to learn why an exercise is solved in a particular way, how that is related to the concepts and theories discussed, and how the exercise underlines or extends the theory. The tutorial teachers are instructed to involve the students in the discussion of the exercises.

Obligatory participation

There is no mandatory participation / presence. Presence at the lectures and tutorials is highly recommended. In the tutorials, presence is recorded.

Assignment

In week 6 of the course, an assignment is placed on Canvas. This assignment does not count towards your final grade. It aims to help prepare for the exam and to provide some deepening of the course's material. If you hand in the assignment before the deadline (to be determined later), you receive feedback on your work.

Exam

The exam consists of open questions and covers all material of both parts of the course. Graphical calculators are not permitted during the exam. Your final grade is equal to your grade for the exam.

In contrast to previous years, there is no midterm in the current year.

Comments

In the lectures, we discuss important concepts and theories, show you the practical relevance of these theories, and work out some exercises. All exercises have an economic interpretation and highlight or extend the theories discussed.

Each week, you receive two exercise sets, one for each part of the course. These exercises are discussed in the tutorials. The exercises discussed during the tutorials are generally somewhat more difficult than those in the books. Yet, the skills necessary to solve the exercises have been taught in Bachelor 1. The solutions to the exercises are posted jointly with the exercises. Do not look at these solutions before you have done a serious attempt at solving an exercise. It is crucial for this course that you spend enough time and effort on the material, in particular the exercises.

Typically, the difficult part of an exercise is to determine *how* you are supposed to find the answer. If you know this, actually doing it is not too difficult. In determining what you are supposed to do, the theory discussed in the book and the lectures is crucial. Make sure that you leave the tutorials understanding *why exercises should be solved as explained in the solutions*.

8 ECTS divided over 8 weeks implies 28 hours of study per week for this course. Each week, there are 6 lecture hours and 4 tutorial hours. The optimal division of the remaining 18 hours is as follows: 1 – 2 hours looking at the material before a lecture. After a lecture, 2 hours of studying the material. 2 hours preparation for a tutorial, and another 1 – 2 hours of studying after the tutorial.

Questions?

You are welcome to ask questions via email, but we do expect from you that you have attended the lectures and tutorials and that you formulate your question as clear as possible.

You can ask your questions to

- The tutorial teacher
- The lecturer